

CAPITAL MARKET FINANCING AND RISK MANAGEMENT

"The capital market refers to a financial market where individuals, companies, and governments can trade financial securities. It provides a platform for buying and selling various long-term financial instruments, such as stocks, bonds etc. The capital market facilitates the flow of capital between investors and borrowers, enabling entities to raise funds for investment and growth.

Capital market is divided into two segment, the primary or secondary markets:

CAPITAL MARKET INSTITUTIONS

Stock Exchange:

A stock exchange is a centralized marketplace where securities, such as stocks and bonds, are bought and sold. It provides a platform for companies to raise capital by issuing shares to the public and for investors to buy and sell those shares.

Issuing Houses:

Issuing houses, also known as investment banks or underwriters, are financial institutions that specialize in assisting companies in raising capital through the issuance of securities in the primary market. They play a vital role in the process of bringing new securities to the market. When a company wants to raise capital by issuing new shares or bonds, it often seeks the assistance of an issuing house. The issuing house helps the company determine the appropriate offering price, structure the securities, and market them to potential investors. They also take on the risk of purchasing the securities from the company and selling them to investors and charge a fee or receive a commission for their services.

Securities and Exchange Commission (SEC):

The Securities and Exchange Commission is a regulatory body that has the primary function of enforcing and regulating the securities laws to protect investors and maintain fair and efficient markets. The SEC oversees various participants in the securities industry, including stock exchanges, brokerage firms, and publicly traded companies. It requires companies to disclose relevant financial information to the public, ensures compliance with securities laws, investigates potential violations, and takes enforcement actions when necessary.

Market for new issues and the method of issues

The market for new issues, also known as the primary market or the IPO (Initial Public Offering) market, refers to the process through which companies raise

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capital by offering their shares or bonds to the public for the first time.
The method of issuing new securities in the primary market.

The following steps are involve in new issue

- Planning: A company decides to go public and raise capital by issuing new securities. This decision is usually based on factors such as growth prospects, capital requirements, and the company's readiness for increased scrutiny and disclosure obligations.
- Selection of Underwriters: The company appoints investment banks or underwriters to manage the offering process. These underwriters play a crucial role in advising the company, determining the offering price, and marketing the securities to potential investors.
- Securities Registration: The company files a registration statement, known as the prospectus, with the regulatory authority (such as the Securities and Exchange Commission). The prospectus provides detailed information about the company, its financials, business model, risk factors, and the proposed offering.
- Due Diligence: The underwriters conduct extensive due diligence to ensure the accuracy and completeness of the information provided in the prospectus. This process involves reviewing the company's financial statements, business operations, legal and regulatory compliance, and other relevant aspects.
- Pricing: The underwriters, in consultation with the company, determine the offering price for the securities. This price is influenced by various factors, including market conditions, demand for the securities, company valuation, and negotiation between the company and the underwriters.
- Marketing and Roadshows: The underwriters engage in a marketing campaign to promote the securities to potential investors. This involves organizing roadshows, where company executives and underwriters present the investment opportunity to institutional investors, analysts, and potential buyers. The goal is to generate interest and demand for the securities.
- Allocation and Subscription: Investors indicate their interest in purchasing the offered securities by submitting subscription orders through their brokers or directly with the underwriters. The underwriters allocate the securities

based on various factors, including investor demand, availability, and regulatory requirements.

- **Securities Issuance:** Once the subscription period closes, the underwriters finalize the allocation and issue the securities to the investors. The company receives the proceeds from the sale of the securities, and the investors become shareholders or bondholders of the company.
- **Listing and Trading:** After the issuance, the company's securities are typically listed on a stock exchange or another organized trading platform, allowing investors to buy and sell the securities in the secondary market. This provides liquidity to the investors and allows the company to establish a market value for its shares.

Other terminologies related to issue of shares

- **Public Issues:** Public issues refer to the offering of securities (such as shares or bonds) to the general public. In a public issue, a company makes its securities available for purchase by retail investors and institutional investors through an open market process. This can include initial public offerings (IPOs), where a company goes public for the first time, as well as subsequent offerings by already listed companies.
- **Rights issues:** Rights issues are a type of offering made to existing shareholders of a company. In a rights issue, a company offers its existing shareholders the opportunity to purchase additional shares in proportion to their existing holdings.
- **Private Placing:** Private placing, also known as a private placement or non-public offering, involves the sale of securities to a selected group of investors instead of the general public. In a private placing, the securities are offered to a specific group of institutional investors, high-net-worth individuals, or private equity firms. This method is typically used by companies that do not want to go through the extensive regulatory requirements and public scrutiny associated with a public offering. Private placements are often conducted through direct negotiations between the issuer and the potential investors.
- **Public Issues of Bonds and Debentures:** In addition to shares, companies can also issue bonds and debentures in the public market. These are debt

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instruments that companies use to raise funds from investors. Public issues of bonds and debentures involve offering these debt securities to the public for purchase. Investors who purchase bonds and debentures become creditors of the issuing company and receive periodic interest payments until the maturity date, when the principal amount is repaid.

Cost of new issue

The cost of new issues refers to the expenses and fees incurred by companies when they go through the process of issuing new securities in the primary market. These costs can vary depending on various factors such as the type of securities being issued, the size of the offering, the complexity of the transaction, and the specific arrangements made with underwriters and other intermediaries involved.

The following are among the common costs associated with new issues:

- **Underwriting Fees:** When a company issues securities in the primary market, it often engages investment banks or underwriters to help manage the offering process who engages in advertising the company, determining the offering price, and distributing the securities to investors and in return charge an underwriting fees, usually as a percentage of the total value of the securities being issued.
- **Legal and Regulatory Expenses:** Issuing new securities involves compliance with various legal and regulatory requirements. Companies often incur costs related to legal counsel, drafting the prospectus or offering circular, regulatory filings, and other documentation necessary for the offering.
- **Accounting and Audit Fees:** Companies may need to engage accounting firms to assist with financial reporting, auditing, and providing reports as required by regulatory authorities. These professional services come with associated fees that contribute to the overall cost of the new issue.
- **Other Administrative Expenses:** Various administrative costs can arise during the new issue process, such as registrar fees, investor communication costs, printing share certificates, regulatory filing fees, and other administrative services required for the issuance and subsequent management of the securities. etc

Leasing

CAPITAL MARKET EFFICIENCY

Capital market efficiency refers to the degree to which financial markets reflect all available information and how efficiently they allocate resources. It assesses how well security markets, such as stock and bond markets, function in terms of price discovery and the allocation of capital. Financial markets are efficient if securities prices accurately and rapidly reflect all publicly available information. In an efficient market, it is assumed that all market participants have equal access to information, and prices adjust quickly and accurately to reflect new information as it becomes available.

There are three forms of market efficiency:

➤ Weak Form Efficiency:

In weak form efficiency, current prices reflect all past market data and price movements. This means that technical analysis, which involves studying historical price patterns and trends, is not sufficient to consistently outperform the market.

Tests for Weak-Form Efficiency:

Weak-form efficiency deals with the idea that past price and trading information are already reflected in current prices. Tests for weak-form efficiency aim to determine if historical price data can be used to predict future price movements. Common tests include:

- **Random Walk Test:** This test involves analyzing the pattern of historical price movements. If prices follow a random walk, where future price changes are independent of past price changes, it suggests weak-form efficiency.
- **Autocorrelation Test:** Autocorrelation examines whether there is a correlation between past and current price changes. If prices are not serially correlated, it indicates weak-form efficiency.

➤ Semi-Strong Form Efficiency:

In semi-strong form efficiency, current prices reflect all publicly available information, including past market data, as well as any other publicly disclosed information such as financial statements, news releases, and analyst reports. This implies that fundamental analysis, which involves analyzing financial information to identify undervalued or overvalued securities, is not consistently profitable.

Tests for Semi-Strong Form Efficiency:

Semi-strong form efficiency implies that security prices rapidly adjust to new publicly available information. Tests for semi-strong efficiency focus on how quickly prices adjust to news and announcements. Common tests include:

- Event Studies: Event studies analyze the impact of specific events or announcements on security prices. If prices adjust quickly and fully to new information, it suggests semi-strong efficiency.
- Market Reaction Test: This involves observing how stock prices react to the release of new financial information, such as earnings reports or economic data. If prices adjust rapidly, it supports the notion of semi-strong efficiency.

➤ Strong Form Efficiency:

In strong form efficiency, current prices reflect all information, including both public and private information. This means that even insider information, which is not available to the general public, is already reflected in security prices. In a strong form efficient market, it is virtually impossible for anyone to consistently earn abnormal profits, as all information is already incorporated into prices

Tests for Strong Form Efficiency:

Strong-form efficiency suggests that all information, both public and private, is already reflected in security prices. Testing for strong-form efficiency is challenging since it involves assessing whether insider information is already incorporated into prices. Common approaches include:

- Insider Trading Test: This test examines whether insider trading consistently generates abnormal profits. If insiders are unable to consistently outperform the market, it may suggest strong-form efficiency.
- Private Information Test: Researchers attempt to analyze the performance of portfolios constructed based on non-public information. If such portfolios do not consistently outperform the market, it provides evidence for strong-form efficiency.

The implications of capital market efficiency:

Fair Pricing: Efficient markets ensure that securities are priced fairly, reflecting all available information. This benefits investors as they can make informed decisions based on market prices and reduce the likelihood of buying overvalued or selling undervalued securities.

Resource Allocation: Efficient capital markets facilitate the allocation of capital to its most productive uses. Investors can direct their investments towards companies and projects with the highest potential returns, leading to efficient allocation of resources in the economy.

Reduced Market Manipulation: If markets are efficient, it becomes difficult for individuals or entities to manipulate prices and take advantage of market inefficiencies. This enhances market integrity and investor confidence.

or Criticism market efficiency

Critics argue that markets may not always be perfectly efficient due to various factors, including behavioral biases, market frictions, and informational asymmetries. These imperfections can create opportunities for skilled investors to exploit market inefficiencies and earn abnormal profits.